

Currency Premia and Dealer Positions in FX Futures

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1 Purpose

This project constructs a monthly panel linking currency premia, short-rate differentials, and dealer positioning in foreign-exchange futures markets. The measure is intended to summarize how intermediary balance-sheet positions in currency futures covary with exchange-rate movements and expected currency returns.

2 Data

Exchange rates, short-term interest rates, and global controls are obtained from public FRED series. Dealer positions and open interest are obtained from the CFTC Traders in Financial Futures reports. The current sample includes AUD, CAD, CHF, EUR, GBP, JPY, MXN, NZD, and ZAR against the US dollar. Currencies are included when the exchange rate, the short-rate differential, and the CFTC futures-position series can be aligned at monthly frequency.

3 Variable Construction

Let $E_{i,t}$ denote the end-of-month exchange rate for currency i against the US dollar, expressed consistently so that an increase is a depreciation of the foreign currency against the dollar for currencies quoted as local currency per US dollar, with inverted FRED dollar-per-foreign-currency series where needed. The monthly exchange-rate change is

$$\Delta e_{i,t} = \Delta \log E_{i,t}.$$

The short-rate differential is

$$idiff_{i,t} = i_{i,t}^{3m} - i_{US,t}^{3m}.$$

Currency excess returns are approximated by

$$rx_{i,t} = idiff_{i,t} - \Delta e_{i,t}.$$

Dealer positions are measured as dealer long positions minus dealer short positions in CFTC Traders in Financial Futures data. The normalized dealer-position measure is

$$f_{i,t}^* = 100 \times \frac{DealerLong_{i,t} - DealerShort_{i,t}}{\overline{OI}_{i,t}^{12m}},$$

where $\overline{OI}_{i,t}^{12m}$ is the 12-month moving average of open interest. The main dealer-position shock is $\Delta f_{i,t}^*$.

4 Empirical Specifications

The script reports three main specifications. First, it estimates cross-sectional relationships between average rate differentials and average dealer positions. Second, it estimates predictive regressions of next-month currency excess returns on dealer positions and rate differentials with currency fixed effects. Third, it estimates concurrent exchange-rate regressions of $\Delta e_{i,t}$ on $\Delta f_{i,t}^*$, changes in interest differentials, and global controls. Standard errors use HAC covariance estimates.

5 Outputs

The replication script writes a monthly panel, coverage diagnostics, per-currency estimates, panel regression summaries, and charts. The figures use a consistent project palette and are regenerated by the monthly GitHub Action.